

Multiple Choice

1. **Answer:** A

Options: A) Decrease of \$500 billion in NNP; B) Increase of \$500 billion in NNP; C) Decrease of \$100 billion in NNP; D) No change in NNP because taxes cancel out expenditures; E) Increase of \$200 billion in NNP

Note: Correct option: A - Decrease of \$500 billion in NNP

2. **Answer:** A

Options: A) Interest rates increase and the dollar depreciates.; B) Interest rates remain the same and the dollar depreciates.; C) Interest rates decrease and the dollar appreciates.; D) Interest rates and the value of the dollar both remain the same.; E) Interest rates increase but the value of the dollar remains the same.

Note: Correct option: A - Interest rates increase and the dollar depreciates.

3. **Answer:** C

Options: A) Do not produce if the TFC is not covered by revenue.; B) Do not produce if the price is lower than AVC.; C) Compare AVC to MR.; D) Compare AFC to MR.; E) Shut down if the firm is not making a profit.

Note: Correct option: C - Compare AVC to MR.

4. **Answer:** C

Options: A) The price of coffee machines rises.; B) The wage of coffee plantation workers falls.; C) The price of tea rises.; D) A decrease in the popularity of energy drinks.; E) Technology in the harvesting of coffee beans improves.

Note: Correct option: C - The price of tea rises.

5. **Answer:** A

Options: A) They signify shifts in currency exchange rates; B) They are indicative of immediate changes in consumer confidence; C) They determine the exact size of the workforce; D) They indicate economic stability; E) They show population change

Note: Correct option: A - They signify shifts in currency exchange rates

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'U.S. residents will take more vacations in foreign countries.'

8. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

9. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'Over-simplification and over-reliance'.

10. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** AP rises when MP is above it and falls when MP is below it.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** Society does not get enough output.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key